

FOLLOW THE MONEY

Where Alberta's Money Comes From — And Where It Goes

Alberta Disability System Breakdown — April 2026
All figures sourced from Government of Alberta Budget 2026 official documents.

SECTION 1: WHERE ALBERTA'S MONEY COMES FROM

Alberta's total revenue in 2026-27 is forecast at \$74.6 billion. The government's own Budget 2026 documents break this down as follows. These are not estimates from advocacy organizations. These are the Government of Alberta's own numbers.

Total Revenue Breakdown — 2026-27 (Government of Alberta Budget 2026)

Revenue Source	2024-25 Actual	2026-27 Estimate	% of Total
Tax revenue	\$30.4 billion	\$30.5 billion	41%
• Personal income tax	\$15.1 billion	\$15.9 billion	21%
• Corporate income tax	\$7.1 billion	\$7.1 billion	10%
• Other taxes (education property, etc.)	\$8.2 billion	\$7.5 billion	10%
Non-renewable resource revenue	\$22.0 billion	\$13.2 billion	18%
• Bitumen (oil sands) royalties	\$17.2 billion	\$9.7 billion	13%
• Crude oil royalties	\$3.0 billion	\$2.1 billion	3%
• Natural gas royalties	\$1.2 billion	\$942 million	1%
Federal transfers	\$12.6 billion	\$13.7 billion	18%
Investment income (Heritage Fund, etc.)	\$6.9 billion	\$7.0 billion	9%
Other income	\$10.7 billion	\$10.2 billion	14%
TOTAL REVENUE	\$82.5 billion	\$74.6 billion	100%

Source: Government of Alberta — Budget 2026 Revenue. alberta.ca/revenue. Treasury Board and Finance, February 2026.

Key facts from this table:

- Personal income tax — what most people think of as ‘taxpayer money’ — is \$15.9 billion, or 21% of total revenue. It is one piece of a much larger picture.
- Oil and gas royalties represent 18% of total revenue this year — down from 27% in 2024-25 because oil prices have fallen. In a strong oil year, resource revenue was \$22 billion. This year it is \$13.2 billion.
- Federal transfers contribute \$13.7 billion — nearly as much as oil and gas royalties. Alberta receives significant federal funding while simultaneously refusing to pass the Canada Disability Benefit to its recipients.
- Every \$1 drop in oil prices costs the province \$680 million in revenue. The entire AISH cut was \$49 million — less than the revenue impact of a 10-cent drop in oil prices.

ALBERTA DOES NOT CHARGE A PROVINCIAL SALES TAX. A 5% PST WOULD GENERATE APPROXIMATELY \$6 BILLION PER YEAR. THE AISH PROGRAM COSTS \$1.641 BILLION. THE PROVINCE CHOSE TO CUT DISABILITY INCOME RATHER THAN TAX REVENUE.

SECTION 2: WHERE ALBERTA’S MONEY GOES

Total expenditure in 2026-27 is \$83.9 billion — a record high. The government is spending \$9.3 billion more than it is taking in. Here is where every dollar goes.

Total Expenditure Breakdown — 2026-27 (Government of Alberta Budget 2026)

Expenditure Area	2024-25 Actual	2026-27 Estimate	Change
Health	\$27.3 billion	\$32.1 billion	+\$4.8B (+18%)
Education (K-12)	\$10.8 billion	\$12.9 billion	+\$2.1B (+19%)
Post-secondary education	\$6.6 billion	\$7.1 billion	+\$0.5B (+8%)
Social services ministries	\$7.0 billion	\$7.7 billion	+\$0.7B (+10%)
Other ministries / Legislature	\$10.3 billion	\$10.6 billion	+\$0.3B (+3%)
Capital grants	\$2.9 billion	\$3.7 billion	+\$0.8B (+28%)

Debt servicing costs	\$3.2 billion	\$3.4 billion	+\$0.2B (+6%)
Contingency reserve	—	\$2.0 billion	New
TOTAL EXPENDITURE	\$74.1 billion	\$83.9 billion	+\$9.8B (+13%)

Source: Government of Alberta — Budget 2026 Expense. alberta.ca/expense. Treasury Board and Finance, February 2026.

Key observations:

- Health spending grew \$4.8 billion — nearly 18% — in one year. The province found \$4.8 billion for healthcare while cutting \$49 million from disability income.
- Debt servicing costs are \$3.4 billion — the government will spend \$670 per Albertan just on interest payments this year.
- The contingency reserve is \$2 billion — set aside in case things get worse. The entire AISH program costs \$1.641 billion. The contingency reserve is larger than AISH.
- Social services ministries — which includes AISH, ADAP, and all disability income support — received a \$700 million increase. But that increase is being used to build the ADAP administrative infrastructure, not to improve benefit levels.

SECTION 3: THE DISABILITY MATH — AISH IN CONTEXT

The government claims the ADAP transition is a fiscal necessity. Here is what the numbers actually show.

The Comparison	Amount	Context
AISH total annual program cost	\$1.641 billion	Covers all 79,290 recipients
AISH budget cut	\$49 million	0.06% of total provincial revenue
Heritage Fund — Q3 2025-26 growth (one quarter)	\$383 million	Earned more in 3 months than the annual cut
Heritage Fund total value	\$31.9 billion	Constitutional protection: none
Income tax cut (8% bracket) — annual cost forever	\$1.2 billion/year	Forgone revenue, permanent
Canada Disability Benefit clawed	~\$190 million	Only province in Canada to do this

back annually		
ADAP administrative cost increase (Budget 2026)	\$41.6 million	\$46.8M → \$88.4M — 89% increase
Net saving after administrative costs	~\$7 million	Before any downstream costs
Cost if 1,540 recipients become homeless (<2%)	\$48.8 million	Exceeds the entire cut
A 5% PST (not implemented)	~\$6 billion/year	Would fund AISH 3.7x over
Contingency reserve (Budget 2026)	\$2.0 billion	Larger than the entire AISH program

THE AISH CUT IS \$49 MILLION. THE HERITAGE FUND EARNED \$383 MILLION IN ONE QUARTER. THE INCOME TAX CUT COSTS \$1.2 BILLION PER YEAR FOREVER. THE CONTINGENCY RESERVE IS \$2 BILLION. THIS IS NOT A FISCAL NECESSITY. IT IS A POLITICAL CHOICE.

SECTION 4: THE “\$3.7 BILLION FOR DISABILITY” CLAIM — EXAMINED

Government of Alberta Budget 2026 states: ‘Budget 2026 will invest \$3.7 billion to support Albertans with disabilities — the highest level of investment in the history of the province.’ This claim requires examination.

Source: Government of Alberta — Budget 2026. alberta.ca/budget

What the \$3.7 billion includes:

- AISH income support — \$1.592 billion (reduced from \$1.641 billion by the \$49 million cut)
- ADAP program administrative infrastructure — \$88.4 million (up from \$46.8 million, an 89% increase)
- FSCD (Family Support for Children with Disabilities) — included in the total
- PDD (Persons with Developmental Disabilities) — included in the total
- Disability Employment Services — new spending to support ADAP transition
- Other disability-adjacent social services spending

What the \$3.7 billion does NOT represent:

- A new injection of disability funding. It is a repackaging of existing and ongoing program costs under a single headline number.
- An increase in individual benefit levels. AISH recipients will receive \$200/month less under ADAP starting January 2028.
- Restoration of the \$49 million cut to AISH. That cut is reflected in the reduced AISH line within the \$3.7 billion total.
- Any reinvestment of the Canada Disability Benefit clawback. Alberta continues to redirect approximately \$190 million/year of federal poverty-reduction funding to general revenue.

THE \$3.7 BILLION HEADLINE INCLUDES THE ADMINISTRATIVE COST OF DISMANTLING AISH AND BUILDING ADAP. THE GOVERNMENT IS COUNTING THE COST OF THE TRANSITION AGAINST ITSELF AS A “INVESTMENT IN DISABILITY.”

SECTION 5: THE HERITAGE FUND — WHAT IT WAS BUILT FOR

Alberta’s Heritage Savings Trust Fund was created in 1976 by Premier Peter Lougheed. Its three founding legislative objectives were: to save for the future, to strengthen and diversify the economy, and to improve the quality of life of Albertans. The third objective was not decorative. It was central to Lougheed’s intent.

Heritage Fund Comparison	Alberta	Alaska
Fund created	1976	1976
Current value	\$31.9 billion (CAD)	~\$119 billion (CAD equivalent)
Constitutional protection	None	Yes — requires public vote to change
Annual payment to residents	\$0	~\$2,400 CAD per person (2024)
Q3 2025-26 growth (one quarter)	\$383 million	—
Annual investment return (5-year avg)	9.6%	—
2024-25 total returns	~\$2.6 billion	—
AISH cut (same year)	\$49 million	—

Cost to reverse ALL AISH cuts	~\$260 million/year	~10% of annual Fund returns
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In 2024, every Alaskan resident — regardless of income, employment status, or disability — received approximately \$2,400 from their state’s resource fund. In the same year, Alberta clawed back \$200/month from 79,000 of its most vulnerable residents.

Sources: Alberta Heritage Savings Trust Fund Q3 2025-26 Report (fair value \$31.9B, Q3 growth \$383M); Government of Alberta Budget 2025 (AISH \$1.641B, cut \$49M); Alaska Permanent Fund 2024 dividend distribution.

SECTION 6: THE BOTTOM LINE

The Government Claims	What the Numbers Show
The ADAP transition is a fiscal necessity	The net saving after administrative costs is ~\$7 million. The contingency reserve is \$2 billion. The income tax cut costs \$1.2 billion/year forever.
\$3.7 billion invested in disability	This headline includes the administrative cost of dismantling AISH. Individual benefit levels are being cut, not increased.
Taxpayers cannot afford AISH	Personal income tax is 21% of revenue. Oil royalties, federal transfers, and Heritage Fund returns make up the majority of Alberta's money. Alberta has no PST.
The transition helps disabled Albertans work	83.6% of AISH recipients have zero employment income. 73.6% of severely disabled Albertans are unemployed. The assessors making the work-capacity determination are not required to have medical training.
ADAP is ready for July 1, 2026	Program Eligibility Assessors were still being hired as of April 7 — 85 days before the transition. Regulations have not been published. The Medical Review Panel has not been publicly constituted.
The prior findings were outdated	The government has not published new medical evidence justifying the reversal of 79,290 formal disability findings. No individual reassessment occurred. What changed was the budget — not the diagnoses.

DISABILITY IS NOT A BUDGET LINE. IT IS A MEDICAL REALITY. THE GOVERNMENT HAS THE MONEY. IT HAS THE HERITAGE FUND. IT HAS FEDERAL TRANSFERS. IT CHOSE TO CUT \$49 MILLION FROM 79,000 PEOPLE WITH PERMANENT DISABILITIES WHILE SPENDING \$2 BILLION ON A CONTINGENCY RESERVE.

THE ALBERTA DISABILITY SYSTEM BREAKDOWN — April 2026 Report Series

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Sources: Government of Alberta Budget 2026 — alberta.ca/revenue — alberta.ca/expense — Treasury Board and Finance, February 2026